

24AVCV01664 24AVCV01664

County: los-angeles

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Case Number: 24AVCV01664 Hearing Date: August 13, 2026 Dept: A14

SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF LOS ANGELES – NORTH DISTRICT

DATA MORTGAGE, INC. DBA ESSEX

MORTGAGE,

Plaintiff,

v.

BRANDON ALAN GORMAN, an

individual; OCMBC, INC., a California

corporation; SECRETARY OF HOUSING

AND URBAN DEVELOPMENT, a

government agency; and DOES 1 through 25, inclusive,

Defendants.

Case Number 24AVCV01664

[TENTATIVE]

STATEMENT OF DECISION

Date of Hearing: August 13, 2026

Dept. A-14

Judge William H. Forman

I. Background

This is a foreclosure action. Plaintiff Data Mortgage, Inc., dba Essex Mortgage (Plaintiff) moves the Court to vacate the default judgment of foreclosure entered against Defendants on March 9, 2026.

On December 17, 2025, Plaintiff filed a complaint against Defendants Brandon Alan Gorman (Gorman), OCMBC, Inc. (OCMBC), and the Secretary of Housing and Urban Development (SHUD), asserting two causes of action for (1) Judicial Foreclosure and (2) Declaratory Relief. Plaintiff alleges that on January 17, 2023, Gorman obtained title to real property known as 16233 Valeport Ave., Lancaster, CA 93535 (the Property) and on January 18th, executed and delivered a Promissory Note and a Deed of Trust to lender OCMBC. (Compl., ¶¶ 11-12.) Plaintiff was designated beneficiary under the Deed of Trust in an Assignment recorded on June 12, 2023, and presently owns and holds the Promissory Note and Deed of Trust. (Compl., ¶¶ 14-15.) Plaintiff asserts Gorman defaulted in payments owed to Plaintiff and elected to accelerate all amounts due and owing under the Note and Deed of Trust and requested judicial foreclosure of the Property. (Compl., ¶¶ 18-19, 25.)

On April 28, 2025, Plaintiff and SHUD entered a stipulated judgment.

On July 23, 2025, default was entered against Gorman and OCMBC.

On March 9, 2026, the Court granted Plaintiff's request for entry of default judgment of foreclosure against Gorman and OCMBC.

On July 15, 2026, Plaintiff filed the present motion to vacate the default judgment of foreclosure.

This motion is unopposed.

II. Request for Judicial Notice

Plaintiff's Request for Judicial Notice – Plaintiff requests that the Court take judicial notice of (1) the complaint filed December 17, 2024 in this case, (2) a copy of the Grant Deed recorded on September 25, 2024 in the Los Angeles County Recorder's Office as Document No. 2024065344, and (3) the default judgment of foreclosure filed in this action on March 9, 2026.

California Evidence Code section 452 permits judicial notice being taken of records of any California court. (Evid. Code., § 452, subd. (d).) California Evidence Code section 453 mandates a court take judicial notice of a matter specified in section 452 if a party so requests, gives the adverse party sufficient notice through pleadings or otherwise, and furnishes the court

with sufficient information to enable it to take judicial notice. (Evid. Code, § 453, subd. (a), (b).)

A Court may properly take judicial notice of recorded documents. (Md. Casualty Co. v. Reeder (1990) 221 Cal.App.3d 961, 977; Evans v. California Trailer Court, Inc. (1994) 28 Cal.App.4th 540, 549 (overruled in part on other grounds) [courts may take judicial notice of recorded deeds].) The Court may take judicial notice “not only of the existence and recordation of recorded documents but also of a variety of matters that can be deduced from the documents.” (Fontenot v. Wells Fargo Bank, N.A. (2011) 198 Cal.App.4th 256, 265 (overruled in part on other grounds).) However, while the Court may take judicial notice of the legal effect of a recorded document where it is clear and not subject to reasonable dispute, the Court may not take judicial notice of factual matters stated therein. (Poseidon Development, Inc. v. Woodland Lane Estates, LLC (2007) 152 Cal.App.4th 1106, 1117.)

Plaintiff requests judicial notice be taken of a recorded grant deed and the legal effect thereof and two documents within this Court's records. Copies of the documents are attached to the request and have been provided to both the Court and Defendants. Therefore, Plaintiff's request for judicial notice is granted.

III. Legal Standard

Standard for Motion to Set Aside Default – Per Code of Civil Procedure section 473, subdivision (d), the Court may, on motion of either party after notice to the other party, set aside any void judgment or order.

“Long-standing Supreme Court precedent dictates that ‘a judgment is not void if the court has jurisdiction of the parties and of the subject matter, irrespective of whether or not the complaint states a cause of action so long as it apprises the defendant of the nature of the plaintiff's demand.’ [Citation.] It thus appears that entering a default judgment based on a complaint that apprises a defendant of the nature of the plaintiff's demand but does not adequately state a cause of action is an act in excess of jurisdiction that renders a judgment voidable rather than void.” (First American Title Ins. Co. v. Banerjee (2022) 87 Cal. App. 5th 37, 44.) “If the court has fundamental jurisdiction but exceeds its jurisdiction by acting contrary to its statutory duties, the judgment is merely voidable, not void. [Citations.]” (W. Bradley Electric, Inc. v. Mitchell Engineering (2024) 100 Cal. App. 5th 1, 13.) A “trial court has no statutory power under section 473, subdivision (d) to set aside a judgment that is not void.” (Cruz v. Fagor America, Inc. (2007) 146 Cal.App.4th 488, 495–96.)

IV. Discussion

Application – Plaintiff moves to vacate the default judgment of foreclosure entered on March 9, 2026 against Gorman and OCMBC pursuant to Code of Civil Procedure section 473, subdivision (d) on the grounds that the judgment is void. Plaintiff asserts that after judgment was entered, Plaintiff learned that title to the subject Property had been transferred before the operative complaint was filed and the current title holder was not a named defendant in this action. (Motion, p. 1:24-2:3.)

The operative complaint in this case was filed December of 2024 due to Gorman's default in failing to make the payment owed on March 1, 2024, naming only Gorman, OCMBC, and SHUD as Defendants. However, prior to the filing of the complaint, Gorman transferred title to the Property to AV Home Rescue, LLC by Grant Deed, which was recorded on September 25, 2024. (Motion, p. 3:14-16; RJN, Ex. 2.) Plaintiff argues the judgment of foreclosure of the Deed of Trust should be vacated on the grounds that it is void as to AV Home Rescue, LLC, title holder to the Property. (Motion, p. 3:27-4:1.)

To start, “if a party admits facts showing that a judgment is void, or allows such facts to be established without opposition, then, as a question of law, a court must treat the judgment as void upon its face. [Citations.]” (OC Interior Services, LLC v. Nationstar Mortgage, LLC, 7 Cal. App. 5th 1318, 1328-1329.) Further, the Court notes that a sale of encumbered real property does not affect the interest of a person who holds a conveyance from or under the mortgagor of the real property if (1) the conveyance or lien appears of record in the proper office at the time of the commencement of the action and (2) the person holding the recorded conveyance or lien is not made a party to the action. (Code Civ. Proc., § 726, subd. (c).) Finally, Courts have long held that where a judgment of foreclosure is entered and the holder of title of the Property is not a named Defendant, the foreclosure proceedings are void. (See Burns v. Hiatt (1906) 149 Cal. 617, 620; Boggs v. Fowler & Hargrave (1860) 16 Cal.559, 563-64 [“the owner of the estate, whether mortgagor or his grantee, has a right to be heard, and no valid decree for the sale of the estate can pass until this right has been afforded to him”; judgment of foreclosure is void where the title holder was not named as a party, as the court never acquired jurisdiction over the estate.].)

Here, the judgment entered on March 9, 2026 ordered that a Writ of Sale shall issue ordering and directing the Sheriff of Los Angeles County to conduct a sale of the Property, including all of the right, title, and interest the Defendants and any successor thereafter had in and to the Property. (See Judgment of Foreclosure, ¶ 6.) The judgment also states that “Defendants, and all parties claiming through or under them as purchasers, encumbrancers, or otherwise, are forever barred and foreclosed of all interest, liens, or claims in the Property and every portion thereof, excepting only any statutory right of redemption provided by the laws of the State of California.” (Id at ¶ 11.)

AV Home Rescue, LLC, successor and title-holder of the Property, is a necessary party to this action, and any “order rendered without an indispensable party is void as to that party.” (In re Marriage of Ramirez, 198 Cal. App. 4th 336, 345; see also Fraser-Yamor Agency, Inc. v. County of Del Norte (1977) 68 Cal.App.3d 201, 214 [“If [indispensable] persons are not before the court, the court is without jurisdiction to adjudicate their rights because the failure to join an indispensable party constitutes a jurisdictional defect.”].) AV Home Rescue, LLC was not named as a party and never appeared, and the Court therefore lacked personal jurisdiction over the adjudication of AV Home Rescue, LLC’s rights and interest in the Property.

Therefore, in light of the information and evidence presented, the Court finds that the judgment entered on March 9, 2026 is void, and Plaintiff’s motion to vacate the default judgment entered in its favor is GRANTED.

V. Conclusion

Plaintiff Data Mortgage Inc.’s Motion to Vacate Default Judgment of Foreclosure is GRANTED.